PETRIE ELECTRONICS

Chapter 5: Initiating and Planning Systems Development Projects

Now that the "No Customer Escapes" project team has been formed and a plan has been developed for distributing project information, Jim can begin working on the project's scope statement, workbook, and Baseline Project Plan. He first drafted the project's scope statement and posted it on the project's intranet (see PE Figure 5-1). Once posted on the intranet, he sent a short e-mail message to all team members requesting feedback.

Minutes after posting the project charter, Jim's office phone rang.

"Jim, it's Sally. I just looked over the scope statement and have a few comments."

"Great," replied Jim, "It's just a draft. What do you think?"

"Well, I think that we need to explain more about how the system will work and why we think this new system will more than pay for itself."

"Those are good suggestions; I am sure many others will also want to know that information. However, the scope statement is a pretty high-level document and doesn't get into too much detail. Basically, its purpose is to just formally announce the project, providing a very high-level description as well as briefly listing the objectives, key assumptions, and stakeholders. The other documents that I am working on, the workbook and the Baseline Project Plan, are intended to provide more details on specific deliverables, costs, benefits, and so on. So, anyway, that type of more detailed information will be coming next."

"Oh, OK, that makes sense. I have never been on a project like this, so this is all new to me," said Sally.

"Don't worry," replied Jim, "Getting that kind of feedback from you and the rest of the team will be key for us doing a thorough feasibility analysis. I am going to need a lot of your help in identifying possible costs and benefits of the system. When we develop the Baseline Project Plan, we do a very thorough feasibility analysis—we examine financial, technical, operational, schedule, legal and contractual feasibility, as well as potential political issues arising through the development of the system."

"Wow, we have to do all that? Why can't we just build the system? I think we all know what we want," replied Sally.

"That is another great question," replied Jim. "I used to think exactly the same way, but what I learned in my last job was that there are great benefits to following a fairly formal project management process with a new system. By moving forward with care, we are much more likely to have the right system, on time and on budget."

"So," asked Sally, "what is the next step?"

"Well, we need to do the feasibility analysis I just mentioned, which becomes part of the project's Baseline Project Plan. Once this is completed, we will have a walk-through presentation to management to make sure they agree with and understand the scope, risks, and costs associated with making 'No Customer Escapes' a reality," said Jim.

"This is going to be a lot of work, but I am sure I am going to learn a lot," replied Sally.

"So, let me get to work on the feasibility analyses," said Jim. "I will be sending requests out to all the team members to get their ideas. I should have this e-mail ready within an hour or so."

"Great, I'll look for it and respond as soon as I can," answered Sally.

"Thanks, the faster we get this background work done, the sooner we will be able to move on to what the system will do," replied Jim.

"Sounds good, talk to you later. Bye," Sally said.

"Bye, Sally, and thanks for your quick feedback," answered Jim.

Case Questions

5.56 Look over the scope statement (PE Figure 5-1). If you were an employee at Petrie Electronics, would you want to work on this project? Why or why not?

5.57 If you were part of the management team at Petrie Electronics, would you approve the project outlined in the scope statement in PE Figure 5-1? What changes, if any, need to be made to the document?

5.58 Identify a preliminary set of tangible and intangible costs you think would occur for this project and the system it describes. What intangible benefits do you anticipate for the system?

5.59 What do you consider to be the risks of the project as you currently understand it? Is this a low-, medium-, or high-risk project? Justify your answer. Assuming you were part of Jim's team, would you have any particular risks?

5.60 If you were assigned to help Jim with this project, how would you utilize the concept of incremental commitment in the design of the Baseline Project Plan?

5.61 If you were assigned to Jim's team for this project, when in the project schedule (in what phase or after which activities are completed) do you think you could develop an economic analysis of the proposed system? What economic feasibility factors do you think would be relevant?

5.62 If you were assigned to Jim's team for this project, what activities would you conduct in order to prepare the details for the Baseline Project Plan? Explain the purpose of each activity and show a timeline or schedule for these activities.

5.63 In case Question 5.59, you analyze the risks associated with this project. Once deployed, what are the potential operational risks of the proposed system? How do you factor operational risks into a systems development plan?

Petrie Electronics

Prepared: February 6, 2020

Scope Statement

Project Name: No Customer Escapes
Project Manager: Jim Watanabe (jwatanabe@petries.com)

Customer: Operations
Project Sponsor: Ella Whinston (ewhinston@petries.com)
Project Start/End (projected): 2/5/2020 – 7/30/2021

Project Overview:

This project will design and implement a customer relationship management system in order to provide superior customer service by rewarding our most loyal customers. Specifically, the system will track customer purchases, assign points for cumulative purchases, and allow points to be redeemed for "rewards" at local stores. This goal of this system is to provide an incentive to customers to choose Petrie Electronics as their first and only choice for making electronic purchases. The system will provide Petrie management with improved information on the purchase behavior of our most loyal customers.

Objectives:

- Track customer purchases
- Accumulate redeemable points
- Reward customer loyalty and provide incentives to remain loyal customers
- Provide improved management information

Key Assumptions:

- System development will be outsourced
- Interface will be a Web browser
- System will access existing customer sales databases

Stakeholders and Responsibilities:

Stakeholder	Role	Responsibility	Signatures
Ella Whinston	Chief Operating Officer	Project Vision, Executive Sponsor	*Ella Whinston*
Bob Petroski	Senior Operations Manager	Monitoring, Resources	*Bob Petroski*
Jim Watanabe	Project Manager	Plan, Monitor, Execute Project	*Jim Watanabe*
Sally Fukuyama	Assistant Director, Marketing	System Functionality	*Sally Fukuyama*
Sanjay Agarwal	Lead Analyst	Technical Architect	*Sanjay Agarwal*

PE FIGURE 5-1
A Scope Statement for Petrie's Customer Relationship Management System